

the public concerning the status of GEC's oil and gas interests in Cheyenne County, Nebraska, which has been featured prominently in certain of GEC's public statements and market reports. Drilling information provided to the Commission indicates that the three wells drilled subsequent to the initial well are dry or marginal. Corporate insiders have sold over 840,000 shares of GEC stock during the past year and have filed Form 144's indicating an intention to sell or sales of almost two million shares.

Broker-dealers, shareholders and prospective purchasers should carefully consider the foregoing information and ensure themselves that they have accurate and complete information concerning GEC in connection with any transactions in securities with GEC. Furthermore, brokers and dealers should be alert to the fact that, pursuant to Rule 15c2-11 under the Exchange Act, at the termination of the trading suspension, no quotation may be entered unless and until they have strictly complied with all of the provisions of said rule. If any broker or dealer has any questions as to whether or not he has complied with said rule, he should not enter any quotation but immediately contact the staff of the Division of Enforcement in Washington, D.C. If any broker or dealer is uncertain as to what is required by Rule 15c2-11, he should refrain from entering quotations relating to the securities in question until such time as he has familiarized himself with said rule and is certain that all of its provisions have been met. If any broker or dealer enters any quotation which is in violation of said rule, the Commission will consider the need for prompt enforcement action.

If any broker-dealer or other person has any information which may relate to this matter, the Division of Enforcement of the Securities and exchange Commission should be telephoned at (202) 272-2287.

SECURITIES EXCHANGE ACT OF 1934
Release No. 17638/March 18, 1981

In the Matter of

AMERICAN STOCK EXCHANGE, INC.
CHICAGO BOARD OPTIONS EXCHANGE, INC.
PACIFIC STOCK EXCHANGE, INC.
PHILADELPHIA STOCK EXCHANGE, INC.

Application pursuant to Section 11A(a)(3)(B) of the Securities Exchange Act of 1934

File No. S7-820

ORDER

Notice is hereby given that the Securities and Exchange Commission ("Commission" or "SEC") has issued an order, pursuant to Section 11A(a)(3)(B) of the Securities Exchange Act of 1934 ("Act"),¹ authorizing certain self-regulatory organizations to act jointly in accordance with a plan filed with the Commission, with respect to matters as to which they share authority under the Act in planning, developing, operating and regulating a national market system facility consisting of a system for the collection and dissemination of consolidated options last sale reports and quotation information. The order authorizes those self-regulatory organizations to implement that facility on a permanent basis as a means of facilitating a national market system in accordance with the requirements of Section 11A of the Act.

I. Background

On January 22, 1976, the Commission, by order, granted registration as a securities information

¹ Section 11A(a)(3)(B) authorizes the Commission, in furtherance of its statutory directive to facilitate the establishment of a national market system, by rule or order,

to authorize or require self-regulatory organizations to act jointly with respect to matters as to which they share authority under [the Act] in planning, developing, operating or regulating a national market system (or a subsystem thereof) or one or more facilities thereof.

processor to the Options Price Reporting Authority ("OPRA"),² upon finding, among other things that OPRA was so organized and had the capacity to carry out its functions as a securities information processor.³ At that time, OPRA's functions were limited to the collection and dissemination of options last sale reports.

On October 24, 1979, OPRA filed under Section 11A(a)(3)(B) of the Act a plan for the collection and dissemination of options last sale reports and quotation information ("Plan") to be administered by OPRA.⁴ The Plan provides that OPRA is authorized to administer and make all policy decisions under the Plan, in particular, (1) setting standards governing the method and format for reporting options last sale reports and quotation information; (2) prescribing the forms of contracts to be entered into with vendors, subscribers, news services, purveyors of data processing services, and others; (3) setting standards to be applied in determining the qualifications of persons to receive last sale reports or quotation information in any capacity; (4) determining the level of fees to be paid to the parties by vendors, subscribers, news services or others for services related to options last sale reports or quotations; and (5) determining policy questions relating to budgetary or financial matters.

On January 22, 1980, the Commission published notice of receipt of the Plan and solicited comments from interested persons.⁵ In its request for

²OPRA is a committee consisting of representatives of the four national securities exchanges presently authorized by the Commission to trade standardized options contracts: the American Stock Exchange, Inc. ("Amex"), the Chicago Board Options Exchange, Inc. ("CBOE"), the Pacific Stock Exchange, Inc. ("PSE") and the Philadelphia Stock Exchange, Inc. ("Phlx").

³Securities Exchange Act Release No. 12035 (January 22, 1976), 41 FR 4369.

⁴The Plan provides that any national securities exchange approved by the Commission for trading in standardized options may become a party to the Plan.

⁵Securities Exchange Act Release No. 16519 (January 22, 1980), 45 FR 6677.

comment, the Commission cited three areas warranting additional consideration. First, the Commission requested comment on whether the Plan should specify the current level of those fees which the Plan authorizes OPRA to charge for its services or the manner in which OPRA would calculate these fees. Second, the Commission requested comment on whether the Plan should define the time parameters within which quotations and reports of completed transactions must be entered into the system. Specifically, the Commission noted that, while the Plan required that (i) transactions be reported "promptly," (ii) "late" transactions be identified, and (iii) quotations reflect the "current" market, it did not define those terms. Third, the Commission requested comment on the reasonableness of the Plan's weighted voting arrangements, under which the Amex and the CBOE, because of their respective trading volume, would control more than 70% of the voting authority.⁶

In response to the Commission's request for comment, the Commission received six comment letters, including letters from three of the options exchanges who were parties to the proposed Plan, the National Association of Securities Dealers, Inc., ("NASD"), one securities information vendor, and one broker-dealer.⁷ Subsequently, the options

⁶The Plan, as submitted on October 24, 1979, provided that each participant's percentage of the total voting authority would correspond to such party's percentage of the total number of compared trades submitted for clearing to the Options Clearing Corporation during the previous year.

⁷See letter from Allen R. Frischkorn, Jr., attorney for GTE Information Systems Inc., to George A. Fitzsimmons, Secretary, SEC, dated March 19, 1980 ("GTE Letter"); letter from Nicholas A. Giordano, Executive Vice President, Phlx, to George A. Fitzsimmons, Secretary, SEC, dated March 11, 1980 ("Phlx letter"); letter from Robert J. Birnbaum, President, Amex, to George A. Fitzsimmons, Secretary, SEC, dated March 26, 1980; letter from Gordon S. Macklin, President, NASD, to George A. Fitzsimmons, Secretary, SEC, dated March 26, 1980 ("NASD Letter"); letter from Scott L. Lager, Executive Vice President and General Counsel, CBOE, to George A. Fitzsimmons, Secretary, SEC, dated March 19, 1980 ("CBOE Letter"); and letter from James P.

exchanges requested that the Commission defer action on the Plan in light of on-going negotiations among the OPRA participants regarding the terms of the Plan. On January 28, 1981, OPRA filed a revised form of the Plan which responded to various of the questions raised by the Commission. After consideration of the revised Plan and the comments received,⁸ the Commission has determined to approve the Plan, as revised, under Section 11A(a)(3)(B) of the Act.

II. Discussion

A. Fees

One commentator urged that the Plan should specify either the current level of fees charged or the method by which fees will be calculated to ensure that OPRA does not deny access to any person by virtue of the imposition of unreasonable access fees.⁹ While certain OPRA participants raised the concern that inclusion of fees in the Plan might result in unreasonable delays in revising those fees, both Amex and CBOE indicat-

ed that they did not object to including fees in the Plan if they were permitted to revise fees without prior Commission approval subject to subsequent Commission opportunity to abrogate the revised fee structure.¹⁰ In accordance with this comment, the revised Plan contains the fee structure for options last sale reporting,¹¹ and provides that fee changes may be put into effect upon filing with the Commission. The revised Plan also provides that any such change may be summarily abrogated by the Commission within 60 days of the date of the filing.

The Commission believes that the provisions regarding fees contained in the revised Plan are responsible to the comments of the Commission and others.¹² The fee provisions in the revised Plan recognize both the Commission's concern that the current level of OPRA fees be included as part of

FOOTNOTE, Continued

Dolan, Vice President, Merrill Lynch, Pierce, Fenner & Smith, Inc. to George A. Fitzsimmons, Secretary, SEC, dated March 10, 1980 ("Merrill Letter"). The Commission has also received a letter from the PSE which it has included in File No. S7-820. See letter from Charles J. Henry, President, Pacific Stock Exchange, Inc., to Andrew M. Klein, Director, Division of Market Regulation, dated May 24, 1979 ("PSE Letter").

⁸The following discussion omits reference to certain concerns reflected in a number of comments received from the options exchanges because these concerns have been mooted by the acquiescence of all of the options exchanges in the filing of the revised Plan.

⁹See GTE Letter, *supra* note 7. In addition, one of the options exchanges objected to the allocation of revenues with respect to quotation information based on trading volume. See Phlx Letter, *supra* note 7. This objection has been mooted by Phlx's acquiescence in the filing of the revised Plan.

¹⁰See Amex and CBOE Letters, *supra* note 7.

¹¹As discussed below (see note 12, *infra*), the Plan does not currently contain a fee structure for receipt of options quotation information.

¹²In its comment letter, GTE noted that the Plan as originally filed did not indicate whether OPRA intended to charge separate fees to subscribers for receipt of options last sale reports and quotation information. GTE further noted that, if OPRA did charge separately for those services, it would require GTE to make substantial technical adjustments to its display systems. See GTE Letter, *supra* note 7. The revised Plan contains a fee structure only with respect to the receipt of options last sale reports. See Exhibit A to revised Plan. However, the revised Plan contemplates the possibility that OPRA may contract separately for the dissemination of last sale reports and quotation information. See revised Plan, Section VII(b). The OPRA participants have indicated their intention to continue to charge only for last sale reports. See letter from Michael Meyer, Schiff & Waite, counsel to OPRA, to Michael Cavalier, Division of Market Regulation, dated February 12, 1981, included in File No. S7-820. The Commission requests the OPRA participants to give careful consideration to the concerns raised by GTE prior to the imposition of separate fees or charges for the receipt of last sale reports and quotation information.

the Plan and OPRA's concern that it be able to revise its fees expeditiously.¹³

B. Voting Procedures

While the PSE and the Phlx¹⁴ objected that the weighted voting procedure was unreasonable and that a one participant-one vote procedure should be required, the Amex and the CBOE argued that such voting procedures constituted a reasonable compromise.¹⁵ In response to the concerns expressed by PSE and Phlx, the revised Plan provides that action by OPRA will be taken upon the affirmative vote of a majority of all of the participants and that each of the four participants has one vote. However, the Plan provides that, in the event that the initial vote results in a tie, each participant will be allocated a percentage of the total voting authority determined by dividing the number of compared trades submitted for clearing to the Options Clearing Corporation by that participant during the preceding year by the total number of all options transactions so reported by all participants during that same period.

The Commission believes that the voting procedures contained in the revised OPRA Plan represent a reasonable compromise among the various options exchanges. While the weighted tie-breaking voting procedure continues to favor exchanges with greater trading volume, the Commission recognizes the need for such a procedure as long as OPRA continues to have an even number

of participants. Moreover, because the Plan provides that no party can exercise more than 50 percent voting authority, regardless of trading volume, and because action by OPRA taken under the tie-breaking procedure requires the affirmative vote of not less than two-thirds of the total voting authority, no one exchange can exercise dominant voting authority in the event of a tie-breaking voting procedure.

C. Time Parameters

One commentator shared the Commission's concerns regarding the absence in the Plan of specific time parameters within which last sale reports and quotation information would be entered into the system.¹⁶ However, the options exchanges argued that there were practical limitations on the ability of the exchanges to provide specific time parameters or define "late" or "current" last sale reports. In addition, they argued that last sale reports are generally collected promptly. While the revised Plan did not modify the provisions relating to the collection and dissemination of quotation information, it added a provision requiring each of the OPRA participants to use its "best efforts" to transmit last sale reports to the OPRA system, properly sequenced, within two minutes of the time of execution. In addition, any last sale report transmitted more than two minutes after execution is required to be identified as "late."

The Commission believes that the modifications in the Plan regarding the collection and dissemination of last sale reports are an appropriate step toward improving reporting of last sale information. The Commission also believes, however, that the OPRA participants should strive to establish time parameters with the same specificity as is currently provided under the terms of the plan governing the implementation and operation of the consolidated transaction reporting system ("CTA Plan").¹⁷ With respect to the reporting of quotation

¹³On February 19, 1981, the Commission adopted Rule 11Aa3-2 under the Act, which establishes procedures and requirements for national market system plans. See Securities Exchange Act Release No. 17580 (February 26, 1981). The provisions in the revised Plan with respect to OPRA fees are consistent with paragraph (c)(3) of that rule. In addition, since the Plan is being approved prior to the effective date of Rule 11Aa3-2, no additional filing of the Plan will be required under that rule. See Rule 11Aa3-2(c)(5).

¹⁴See PSE and Phlx Letters, *supra* note 7. The NASD agreed with those OPRA participants who objected to the proposed weighted voting authority. See NASD Letter, *supra* note 7.

¹⁵See Amex and CBOE Letters, *supra* note 7.

¹⁶See Merrill Letter, *supra* note 7.

¹⁷The CTA Plan provides that, in general, last sale prices will be reported within 90 seconds after execution. See CTA Plan, Section VII(a). The Commission anticipates that the options exchanges will continue to explore whether options last sale reporting may be improved either through increased use of automation or additional floor reporters.

information, the Commission recognizes that the large crowds which frequently typify options trading may create difficulties in establishing specific parameters for the reporting of quotation information and that it therefore may be appropriate to obtain from quotation information only a "sense of the market."¹⁸ Accordingly, the Commission has determined to approve the Plan without any further changes with respect to the collection and dissemination of quotation information. However, the Commission encourages the options exchanges to reconsider this matter in connection with further progress in enhancing the technical operation of the options markets.

IT IS HEREBY ORDERED, pursuant to Section 11A(a)(3)(B) of the Act, that the self-regulatory organizations named above are authorized to act jointly in planning, developing, operating or regulating a national market system facility consisting of a system for the collection and dissemination of consolidated options last sale reports and quotation information in accordance with the terms of the Plan. This order is subject to modification or revocation at any time if the Commission determines that such action is necessary or appropriate in light of progress made toward a national market system or otherwise in furtherance of the purposes of the Act.

By the Commission.

George A. Fitzsimmons
Secretary

March 18, 1981

¹⁸See Securities Exchange Act Release No. 16701 (March 26, 1980), at 35-37, 45 FR 21426, 21431-21432.

SECURITIES EXCHANGE ACT OF 1934
RELEASE NO. 17639/March 18, 1981

Administrative Proceeding
File No. 3-5934

In the Matter of

BEVILL, BRESLER & SCHULMAN INCORPORATED

(No. 8-18885)

JAMES W. WINTER

FINDINGS AND ORDER IMPOSING REMEDIAL SANCTIONS

In these proceedings ordered pursuant to Sections 15(b) and 19(h) of the Securities Exchange Act of 1934 (the "1934 Act"), Respondent James W. Winter has submitted an offer of Settlement which the Commission has determined to accept.¹ Solely for the purpose of settling these proceedings and without admitting or denying the allegations, contained in the Order for Public Proceedings (the "Order"), Respondent James W. Winter consents to the findings of violations and the sanctions contained in this order.²

On the basis of the Order and the Offer of Settlement, the Commission finds that:

(1) James W. Winter wilfully violated and wilfully aided and abetted violations of Section 17(a) of the Securities Act of 1933 and Section 10(b) of the

¹The Order for Public Proceedings in this matter was issued on December 12, 1980. Simultaneously therewith, the Commission issued an order imposing remedial sanctions with respect to 15 respondents in this proceeding. See Securities Exchange Act Release No. 17373 (December 12, 1980). On February 18, 1981, the Commission issued another order imposing remedial sanctions on two additional respondents. See Securities Exchange Act Release No. 17555 (February 18, 1981).

²The findings herein are not binding on any other respondent named in this proceeding.